

Sony Company — Accounting Assignment

Presented by,
5 Ninjas



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Presentation Roadmap

1 Adjusting Journal Entries

2 Adjusted Trial Balance

3 Financial Statements

4 Q & A



Trial Balance

Sony Company

June 30, 2024

Account	Debit	Account	Credit
Cash	\$ 8,600	Notes Payable	\$ 20,000
Accounts Receivable	\$ 14,000	Accounts Payable	\$ 9,000
Equipment	\$ 45,000	Owner's Capital	\$ 22,000
Insurance Expense	\$ 2,700	Sales Revenue	\$ 52,100
Salaries and Wages Expense	\$ 30,000	Service Revenue	\$ 6,000
Supplies Expense	\$ 3,700		
Advertising Expense	\$ 1,900		
Rent Expense	\$ 1,500		
Utilities Expense	\$ 1,700		
Total	\$ 109,100		\$ 109,100

Total	\$ 109,100		\$ 109,100
Utilities Expense	\$ 1,700		
Rent Expense	\$ 1,500		

Additional data

1. The \$3,700 balance in Supplies Expense represents supplies purchased in January. At June 30, \$1,500 of supplies are on hand.
2. The note payable was issued on February 1. It is a 9%, 6-month note.
3. The balance in Insurance Expense is the premium on a one-year policy, dated March 1, 2024.
4. Service revenues are credited to revenue when received. At June 30, services revenue of \$1,300 are unearned.
5. Revenue for services performed but unrecorded at June 30 totals \$2,000.
6. Depreciation is \$2,250 per year.

Part (a): Adjusting Journal Entries

1. The \$3,700 balance in Supplies Expense represents supplies purchased in January. At June 30, \$1,500 of supplies are on hand.
2. The note payable was issued on February 1. It is a 9%, 6-month note.
3. The balance in Insurance Expense is the premium on a one-year policy, dated March 1, 2024.

The following adjustments were recorded at **June 30, 2024**
(adjustments are recorded every 6 months):

- Supplies Purchased \$3,700; On hand \$1,500
Used = $3700 - 1500 = \$2,200$.
- 1 Recognize \$1,500 as asset (Supplies) .
So,
Supplies \$1,500 → Debit
Supplies Expense \$1,500 → Credit

- Interest on Notes payable:
 $\$20,000 \times 9\% \times 5/12$ (Feb 1 to Jun 30) = \$750
- 2 Interest Expense \$750 → Debit
Interest Payable \$750 → Credit

- Prepaid Insurance \$2,700 premium for 12 months from Mar 1.
- 3 Expired = $4/12 \times \$2,700 = \900 . Prepaid remaining = $8/12 \times \$2,700 = \$1,800$ So,
Prepaid Insurance \$1,800 → Debit
Insurance Expense \$1,800 → Credit

Part (a): Adjusting Journal Entries

4. Service revenues are credited to revenue when received. At June 30, services revenue of \$1,300 are unearned.
5. Revenue for services performed but unrecorded at June 30 totals \$2,000.
6. Depreciation is \$2,250 per year.

The following adjustments were recorded at **June 30, 2024**
(adjustments are recorded every 6 months):

4 \$1,300 of \$6,000 Service Revenue received is unearned → reduce Service Revenue.
 So,
 Service Revenue \$1,300 → Debit
 Unearned Service Revenue \$1,300 → Credit

5 Services performed but not yet billed or recorded.
 Account Receivable \$2,000 → Debit
 Service Revenue \$2,000 → Credit

Depreciation: $\$2,250 \div 2 = \$1,125$ for 6 months
6 Depreciation Expense \$1,125 → Debit
 Accumulated Depreciation \$1,125 → Credit

Part (a): Adjusting Journal Entries

Date	Account Titles and Explanation	Ref.	Debit (\$)	Credit (\$)
June 30	Supplies Supplies Expense <i>To record supplies on hand</i>		1,500	1,500
June 30	Interest Expense Interest Payable <i>To accrue interest on Notes Payable</i>		750	750
June 30	Prepaid Insurance Insurance Expense <i>To record prepaid insurance</i>		1,800	1,800
June 30	Service Revenue Unearned Service Revenue <i>To record unearned service revenue</i>		1,300	1,300
June 30	Accounts Receivable Service Revenue <i>To record accrued service revenue</i>		2,000	2,000
June 30	Depreciation Expense Accumulated Depreciation (Equipment) <i>To record depreciation expense</i>		1,125	1,125

Part (b): Adjusted Trial Balance

Trial Balance



Adjustment



Adjusted Trial Balance

Part (b): Adjusted Trial Balance

Account	Debit	Account	Credit
Cash	\$ 8,600	Notes Payable	\$ 20,000
Accounts Receivable	\$ 14,000	Accounts Payable	\$ 9,000
Equipment	\$ 45,000	Owner's Capital	\$ 22,000
Insurance Expense	\$ 2,700	Sales Revenue	\$ 52,100
Salaries and Wages Expense	\$ 30,000	Service Revenue	\$ 6,000
Supplies Expense	\$ 3,700		
Advertising Expense	\$ 1,900		
Rent Expense	\$ 1,500		
Utilities Expense	\$ 1,700		
Total	\$ 109,100		\$ 109,100

Date	Account Titles and Explanation	Ref.	Debit (\$)	Credit (\$)
June 30	Supplies Supplies Expense <i>To record supplies on hand</i>		1,500	1,500
June 30	Interest Expense Interest Payable <i>To accrue interest on Notes Payable</i>		750	750
June 30	Prepaid Insurance Insurance Expense <i>To record prepaid insurance</i>		1,800	1,800
June 30	Service Revenue Unearned Service Revenue <i>To record unearned service revenue</i>		1,300	1,300
June 30	Accounts Receivable Service Revenue <i>To record accrued service revenue</i>		2,000	2,000
June 30	Depreciation Expense Accumulated Depreciation (Equipment) <i>To record depreciation expense</i>		1,125	1,125

Adjusted Trial Balance
Sony Company
June 30, 2024

Account	Trial Balance		Adjustments		Adjusted Trial Balance	
	Debit (\$)	Credit (\$)	Debit (\$)	Credit (\$)	Debit (\$)	Credit (\$)
Cash	8,600				8,600	
Accounts Receivable	14,000		2,000		16,000	
Equipment	45,000				45,000	
Insurance Expense	2,700			1,800	900	
Salaries and Wages Expense	30,000				30,000	
Supplies Expense	3,700			1,500	2,200	
Advertising Expense	1,900				1,900	
Rent Expense	1,500				1,500	
Utilities Expense	1,700				1,700	
Notes Payable		20,000				20,000
Accounts Payable		9,000				9,000
Owner's Capital		22,000				22,000
Sales Revenue		52,100				52,100
Service Revenue		6,000	1,300	2,000		6,700
Supplies			1,500		1,500	
Interest Expense			750		750	
Prepaid Insurance			1,800		1,800	
Depreciation Expense			1,125		1,125	
Interest Payable				750		750
Unearned Service Revenue				1,300		1,300
Accumulated Depreciation (Equipment)				1,125		1,125
TOTAL	109,100	109,100	8,475	8,475	112,975	112,975

Part (b): Adjusted Trial Balance

Adjusted Trial Balance

Sony Company

June 30, 2024

Account	Trial Balance		Adjustments		Adjusted Trial Balance	
	Debit (\$)	Credit (\$)	Debit (\$)	Credit (\$)	Debit (\$)	Credit (\$)
Cash	8,600				8,600	
Accounts Receivable	14,000		2,000		16,000	
Equipment	45,000				45,000	
Insurance Expense	2,700			1,800	900	
Salaries and Wages Expense	30,000				30,000	
Supplies Expense	3,700			1,500	2,200	
Advertising Expense	1,900				1,900	
Rent Expense	1,500				1,500	
Utilities Expense	1,700				1,700	
Notes Payable		20,000				20,000
Accounts Payable		9,000				9,000
Owner's Capital		22,000				22,000

Account	Trial Balance		Adjustments		Adjusted Trial Balance	
	Debit (\$)	Credit (\$)	Debit (\$)	Credit (\$)	Debit (\$)	Credit (\$)
Sales Revenue		52,100				52,100
Service Revenue		6,000	1,300	2,000		6,700
Supplies			1,500		1,500	
Interest Expense			750		750	
Prepaid Insurance			1,800		1,800	
Depreciation Expense			1,125		1,125	
Interest Payable				750		750
Unearned Service Revenue				1,300		1,300
Accumulated Depreciation (Equipment)				1,125		1,125
TOTAL	<u>109,100</u>	<u>109,100</u>	<u>8,475</u>	<u>8,475</u>	<u>112,975</u>	<u>112,975</u>

Part (c): Financial Statements

$\text{NET INCOME} = \text{TOTAL REVENUES} - \text{TOTAL EXPENCES}$

Part (c): Financial Statements

Account	Amount (\$)	Total (\$)
REVENUES		
Sales Revenue	52,100	
Service Revenue	6,700	
Total Revenues		58,800



EXPENSES		
Insurance Expense	900	
Salaries and Wages Expense	30,000	
Supplies Expense	2,200	
Advertising Expense	1,900	
Rent Expense	1,500	
Utilities Expense	1,700	
Interest Expense	750	
Depreciation Expense	1,125	
Total Expenses		40,075

Part (c): Financial Statements

Sony Company

Income Statement

For the Six Months Ended June 30, 2024

Account	Amount (\$)	Total (\$)
REVENUES		
Sales Revenue	52,100	
Service Revenue	6,700	
Total Revenues		58,800
EXPENSES		
Insurance Expense	900	
Salaries and Wages Expense	30,000	
Supplies Expense	2,200	
Advertising Expense	1,900	
Rent Expense	1,500	
Utilities Expense	1,700	
Interest Expense	750	
Depreciation Expense	1,125	
Total Expenses		40,075
NET INCOME		<u>18,725</u>

Part (c): Financial Statements

Sony Company
Owner's Equity Statement
For the Six Months Ended June 30, 2024

Account	Amount (\$)
Owner's Capital, January 1, 2024	22,000
Add: Net Income for the period	18,725
Owner's Capital	<u>40.725</u>

Part (c): Financial Statements

Balance Sheet

Account	Amount (\$)	Total (\$)
ASSETS		
Current Assets:		
Cash	8,600	
Accounts Receivable	16,000	
Supplies	1,500	
Prepaid Insurance	1,800	
Total Current Assets		27,900
Property, Plant & Equipment:		
Equipment	45,000	
Less: Accumulated Depreciation	(1,125)	
Net Equipment		43,875
Total Assets		<u>71,775</u>

Part (c): Financial Statements

Balance Sheet

Account	Amount (\$)	Total (\$)
LIABILITIES AND OWNER'S EQUITY		
Liabilities:		
Notes Payable	20,000	
Accounts Payable	9,000	
Interest Payable	750	
Unearned Service Revenue	1,300	
Total Liabilities		31,050
Owner's Equity:		
Owner's Capital		40,725
Total Liabilities and Owner's Equity		<u>71,775</u>

Part (c): Financial Statements

Sony Company
Balance Sheet
As at June 30, 2024

Account	Amount (\$)	Total (\$)
ASSETS		
Current Assets:		
Cash	8,600	
Accounts Receivable	16,000	
Supplies	1,500	
Prepaid Insurance	1,800	
Total Current Assets		27,900
Property, Plant & Equipment:		
Equipment	45,000	
Less: Accumulated Depreciation	(1,125)	
Net Equipment		43,875
Total Assets		<u>71,775</u>
LIABILITIES AND OWNER'S EQUITY		
Liabilities:		
Notes Payable	20,000	
Accounts Payable	9,000	
Interest Payable	750	
Unearned Service Revenue	1,300	
Total Liabilities		31,050
Owner's Equity:		
Owner's Capital		40,725
Total Liabilities and Owner's Equity		<u>71,775</u>

Key Financial Highlights

\$58,800

Total Revenues

Sales \$52,100 + Service \$6,700

\$18,725

Net Income

For the six months ended June 30, 2024

\$71,775

Total Assets

Current \$27,900 + Net Equipment \$43,875

\$40,725

Owner's Capital

Up from \$22,000 at January 1, 2024

